THE UNITED REPUBLIC OF TANZANIA
THE PRESIDENT'S OFFICE
REGIONAL ADMINISTRATION AND LOCAL GOVERNMENT
LONGIDO DISTRICT
ANNUAL JOINT EXAMINATION

FORM THREE
062 BOO KEEPING

Time: 3 Hours **November 2024**

Instructions

1. This paper consists of sections A, B, and C with a total of nine (9) questions
2. Answer all questions in all sections
3. Section A carries fifteen (15), section B carries forty (40) and section C carries forty five (45) marks
4. Non-programmable calculators may be used
5. Cellular phones and any unauthorized materials are not allowed in the examination room
6. Write your examination number on every page of your answer booklet

SECTION A (15 MARKS)

Answer all questions in this section

1. For each of the items (i)-(x), choose the correct answer from among the given alternatives and write its letter besides the item number in the answer booklet provided.

   i. Bad debt written off is transferred to income statement because it is:
   - A. Expenses
   - B. Income
   - C. Assets
   - D. Liabilities
   - E. Profits

   ii. One of the following is recorded only on the creditors control account
   - A. Returns in wards
   - B. Returns out wards
   - C. Discount allowed
   - D. Bad debts written off
   - E. Dishonoured cheque

   iii. Which of the following is treated as a current asset in the preparation of statement of financial position
   - A. Accrued expenses
   - B. Expenses paid
   - C. Accrued income
   - D. Prepaid income
   - E. Income received

   iv. The balance on the receipts and payments is the balance on the:
   - A. Income statement
   - B. Subscriptions accounts

C. Expenses account
D. Cash or bank account
E. Income and expenditure

v. Which one of the following is not importance of control account
A. Reliable financial position
B. Calculating missing figures
C. Facilitate internal check
D. Identifying the errors
E. Checking the arithmetical accuracy

vi. In the income statement, the sales returns should be:
A. Added to costs of goods sold
B. Deducted from sales
C. Deducted from purchases
D. Added to sales
E. Added to purchases

vii. What is meant by the term revenue expenditure?
A. The extra capital paid by the proprietor
B. Money spent on buying non-current assets
C. The costs of running the business on day to day basis
D. Money spent on painting non-current assets
E. Money spent on adding the value of non-current assets

viii. Depreciation can be described as the:
A. The amount spent to buy a non-current assets
B. Salvage value of the non-current assets consumed during it's period
C. The amount of money spent to replace the non-current assets
D. Costs of the non-current assets consumed during its period
E. Costs of old assets plus new assets bought

ix. Seypalm bought a machinery at Tzs 500 000 and he expects to use it for five years with disposal value of Tzs 10 000 using straight-line method. The amount of depreciation to be charged each year will be:
A. Tzs 10000
B. Tzs 200000
C. Tzs 500000
D. Tzs 98000
E. Tzs 78000

x. Seypalm bought a lorry at Tzs 2 000 000 and depreciation is to be charged at 20% per annum on a reducing balance method. What will be the net book value of the lorry after two years?
A. Tzs 400000
B. Tzs 1600000
C. Tzs 520000
D. Tzs 320000
E. Tzs 1280000

2. Match the following causes of depreciation in list A with their responses in list B by writing the letter of the correct response beside the item number in the answer booklet

LIST A	LIST B
i. Refers to the damage occurring to non-current assets from normal use. ii. Non-current assets may be eroded, or wasted away by the action of wind, rain, sun and other elements of nature. iii. This is the change in value of non-current assets caused by new innovations due to improved technologies. iv. This occurs when the non-current assets is no longer used because of the growth and changes in the size of the firm v. This occurs to the non-current assets, which have fixed life in terms of years. When the years are finished the non-current assets is worth nothing.	A. Time factors B. In adequacy C. Obsolescence D. Erosion, rust, rot, and decay E. Wear and tear F. Amortization G. Devaluation

SECTION B (40 marks)

Answer all questions in this section

3. The system in which records are kept without following the double entry principle, is called single entry accounting or incomplete records. Briefly explain five limitations of this system.

4. There are some organizations that run their activities without the purposes of making profit. Although they do not make profit, still they have to maintain accounting records. Briefly describe five sources of funds, which are obtained by those organizations.

5. Seypalm started his business on 1st January 2013 with a capital of tzs 450 000/=. On 31st December 2013 his position was as under:

	Tzs
Cash	99000/=
Accounts receivable	75000/=
Plant	48000/=
Land and buildings	180000/=
Furniture	50000/=

He borrowed Tzs 45000/= from his friend Samson on that date. He withdrew Tzs 8000/= per month for his household purposes.
Required: Ascertain his profit or loss for this year ended 31st December 2013

6. As per receipt and payment account for the year ended 31st December 2015, the subscriptions received were Tzs 250000/=. Additional information given is as follows:
   a) Subscriptions outstanding on 1st January 2015 Tzs 50000/=

b) Subscriptions outstanding on 31st December 2015 Tzs 35000/=
c) Subscriptions received in advance as on 1st January 2015 Tzs 25000/=
d) Subscriptions received in advance as on 31st December 2015 Tzs 30000/=
Required prepare the subscription account to ascertain the amount to be transferred to statement of income and expenditure for the year ended 31st December 2015

SECTION C (45 marks)

Answer all questions in this section

7. The following records were extracted from the books of SEYPALM Ltd retailer, for the period of one year ending 31st December 2009.

Dr Cash account Cr

1/1/2009 balance b/d	18000	Cash paid to suppliers (creditors)	362000
Cash from credit customers	480000	Salaries	38000
		Rent and rates	16000
		Light and heat	4000
		General expenses	34000
		Drawings	24000
		31/12/2009 balance c/d	20000
	498000		498000
1/1/2010 balance b/d	20000		

The following additional information is also available.

	31/12/2008	31/12/2009
Stock	40000/=	54000/=
Trade debtors	60000/=	66000/=
Trade creditors	40000/=	42000/=
Accrued light and heat	500/=	1500/=
Prepaid rent and rates	2000/=	3000/=
Non-current assets	30000/=	27000/=

From the above information, prepare Seypalm Ltd income statement for the year ended 31st December 2009, and a statement of financial position as at that date.

8. The following figures were extracted from the books of SEYPALM Ltd. For the month of June, 1992:

Purchases ledger balances 1st June	Dr	350/=
	Cr	18460/=
Sales ledger balances 1st June	Dr	47600/=
	Cr	1350/=
Credit purchases		39400/=
Credit sales		68940/=
Cash sales		20600/=
Cash purchases		4400/=
Returns in wards		2500/=

Returns out wards		890/=
Receipts from credit customers		52600/=
Payment to trade creditors		38640/=
Discount received		4750/=
Discount allowed		6990/=
Bad debts written off		1240/=
Interest charged to debtors		360/=
Debtors cheque dishonoured		870/=
Purchases ledger credits transferred to sales ledger		1230/=
Purchases ledger balances 30th June	Dr	480/=
Sales ledger balances 30th June	Cr	1690/=

Required: From the above information, prepare the debtor's ledger and the creditor's ledger control accounts for the month of June 1992.

9. Given the following trial balance of Long lane sports club as of 31st December 1998

Details	Dr	Cr
Sports equipment	85000	
Club premises	296000	
Subscription received		64900
Wages of staff	47500	
Furniture and fittings	52600	
Rates and insurance	19100	
General expenses	6050	
Accumulated funds 1st January 1998		420160
Donations received		3600
Telephone and postages	4480	
Bank	20400	
Bar purchases	95720	
Creditors for bar supplies		10400
Bar sales		148250
Bar stocks 1st January 1998	20460	
	647310	647310

The following information is also available:

i. Bar stocks at 31st December 1998 shs 23620/=

ii. Provide for depreciation, sports equipment shs 17000/=: furniture and fittings shs 13150/=.

Required: From the above information, prepare statement of income and expenditure for the year ended 31st December 1998, together with statement of financial position as at that date.